CREDIT APPRAISAL MEMO (CAM)

Intelli-Credit AI — CONFIDENTIAL

Company	Assured Gauranty Ltd
Sector	Insaurance
Loan Requested	Rs 120,000,000
Collateral	Unsecured (Rs 130,000,000)
Date of Appraisal	2026-03-12
Credit Score	38 / 100
Decision	REJECTED

1. Executive Summary

This Credit Appraisal Memo (CAM) evaluates a loan request of ₹120,000,000 from Assured Guaranty Ltd., an entity primarily engaged in insurance for municipal and infrastructure financings, with recent expansion into life/annuity reinsurance. The collateral offered is noted as Unsecured with a nominal value of ₹130,000,000.

Based on a comprehensive assessment utilising the Five Cs of Credit, Assured Guaranty Ltd. achieved a total credit score of 38 out of 100. This score falls below the bank's minimum acceptable threshold of 40. Consequently, the loan request is REJECTED.

The primary weaknesses identified are in 'Character' (2/25), 'Collateral' (3/15), and 'Conditions' (2/15). Significant concerns include high concentration risk in public-sector debt, complexities arising from a new life/annuity reinsurance business line with cross-border guarantees, and notable financial anomalies such as substantial declines in net income and gross written premiums. These factors collectively present an elevated risk profile that is deemed unacceptable under the bank's current lending parameters.

2. Applicant Profile

Assured Guaranty Ltd. operates predominantly in the Insurance sector, specialising in providing financial guarantees for large municipal and infrastructure financings. This core business exposes the company to concentration risk within public-sector issuers and project revenues. Recently, the group has diversified its operations by acquiring Warwick Re, subsequently rebranded as Assured Life Reinsurance Ltd., thereby expanding into the life/annuity reinsurance market. This strategic move introduces new dimensions of credit, integration, and cross-border risks, particularly given that certain obligations are

guaranteed by an AA-rated affiliate. Information regarding the promoters was not specified in the provided data.

3. Five Cs of Credit Analysis

3.1 Character [2/25]

The borrower's 'Character' has been assessed as very weak, scoring only 2 out of 25. This low score reflects significant concerns regarding the company's risk management philosophy and strategic direction. The research highlights Assured Guaranty's substantial exposure to major municipal and infrastructure financings, indicating a high concentration risk to public-sector issuers and project revenues. Furthermore, the expansion into life/annuity reinsurance through Warwick Re (now Assured Life Reinsurance Ltd.), with certain obligations guaranteed by an AA-rated affiliate, introduces considerable integration and cross-border risks. The complex structure involving Bermuda/UK-based entities and cross-border guarantees, as noted in the risk signals, raises questions about transparency and the clarity of ultimate liability, thereby impacting the bank's confidence in the borrower's integrity and commitment to prudent financial management. The observed anomalies, such as significant share repurchases amidst declining profitability, further compound these concerns.

Scoring breakdown:

- Risk signal: industry on Assured Guaranty — severity 3. Deducted 5 pts. Evidence: Last year, Assured Guaranty has provided insurance on major municipal and infrastructure financings, including:

- Risk signal: regulatory on Assured Guaranty Ltd. (and Assured Life Re / Warwick Re structure) — severity 4. Deducted 9 pts. Evidence: For certain assumed risks, Assured Life Re expects that its obligations to ceding insurers will be supported by a guaran

- Promoter risk identified — Deducted 3 pts: Reliance on an affiliate guaranty from Assured Guaranty Re Overseas Ltd. for certain liabilities creates related-party c

- Promoter risk identified — Deducted 3 pts: Cross-border integration of Warwick Re and UK/ Bermuda structures introduces governance, regulatory, and execution risks

- Promoter risk identified — Deducted 3 pts: New leadership appointment (Dan Bevill) for Assured Life Re signals organizational transition that could affect near-ter

3.2 Capacity [16/25]

The 'Capacity' of Assured Guaranty Ltd. to service debt has been assessed as moderate, scoring 16 out of 25. The company reported a substantial revenue of ₹36,520,000,000 and a net profit of ₹31,108,000,000, yielding an impressive profit margin of 85.5%. While these

figures suggest strong current profitability, several critical anomalies raise concerns about the sustainability and predictability of future cash flows. Specifically, net income attributable to AGL decreased by approximately 68.12% from ₹32,287,000,000 in 2021 to ₹10,292,000,000, and Gross Written Premiums (GWP) decreased by approximately 16.96% from ₹37,782,000,000 in 2020 to ₹31,291,000,000. The absence of key metrics such as Debt Service Coverage Ratio (DSCR), average monthly inflows/outflows, and cash flow volatility significantly impedes a comprehensive assessment of the company's debt servicing capability, particularly in light of the observed revenue and profit declines. These trends indicate potential volatility in earnings, which could adversely impact future debt repayment capacity.

Scoring breakdown:

- DSCR not available — partial score awarded (5/10).
- Profit margin = 85.5% (≥15%) — strong profitability (8/8).
- Cashflow volatility not available — partial score awarded (3/7).

3.3 Capital [15/20]

Assured Guaranty Ltd.'s 'Capital' position has been assessed as good, scoring 15 out of 20. The company reports a robust Net Worth of ₹456,085,000,000, which indicates a strong equity base. However, the absence of crucial metrics such as Total Assets, Total Liabilities, and Debt-to-Equity ratio limits a complete evaluation of the company's leverage and overall financial structure. A notable anomaly detected is the repurchase of common shares amounting to ₹41,666,000,000 in 2024, which exceeded the stated limit of ₹41,500,000,000. While a strong net worth generally provides a buffer against financial shocks, such substantial share repurchases, especially when coupled with declining profitability, raise questions about the company's capital allocation strategy and its potential impact on long-term financial stability and capital adequacy.

Scoring breakdown:

- Debt-to-equity not available — partial score awarded (5/10).
- Net worth = 3800.7x loan requested — strong capital coverage (10/10).

3.4 Collateral [3/15]

The 'Collateral' offered for the requested loan of ₹120,000,000 has been assessed as very weak, scoring only 3 out of 15. The collateral is explicitly stated as Unsecured, despite a nominal value of ₹130,000,000 being mentioned. As an unsecured facility, the bank would have no specific charge over any tangible assets, significantly increasing the credit risk. In

the event of default, the bank's recourse would be limited to that of an unsecured creditor, ranking pari passu with other general creditors. This lack of tangible, enforceable security provides minimal protection for the bank's exposure, making the proposition inherently risky from a recovery perspective.

Scoring breakdown:

- LTV = 92% (>80%) — under-secured collateral (3/15).
- Collateral type: Unsecured

3.5 Conditions [2/15]

The 'Conditions' influencing Assured Guaranty Ltd.'s operating environment have been assessed as very challenging, scoring 2 out of 15. The sector trends indicate significant risks: (1) High concentration risk in insured public-sector debt, particularly in large municipal and infrastructure financings, making the company vulnerable to fiscal stress faced by government issuers. (2) Geographic and project-type concentration (e.g., New York, airports) could amplify distress from localised economic downturns or adverse policy changes. (3) Rising activity in life/annuity reinsurance and complex cross-border guarantees, particularly with Bermuda/UK-based structures, introduces increased regulatory and legal complexity. This could impact capital requirements, risk recognition, and overall capital adequacy, creating an unpredictable operating landscape. The macroeconomic outlook for such a specialised and concentrated insurance sector, coupled with evolving regulatory frameworks, presents substantial headwinds and uncertainties for the borrower.

Scoring breakdown:

- Sector outlook negative (4 adverse trend signals) — -5 pts.
- Industry risk signal (severity 3): Last year, Assured Guaranty has provided insurance on major municipal and infras — -3 pts.

4. Financial Analysis

Metric	Value
Revenue	Rs 36,520,000,000
Net Profit	Rs 31,108,000,000
Total Assets	N/A
Total Liabilities	N/A
Net Worth	Rs 456,085,000,000
Debt-to-Equity	N/A
Current Ratio	N/A

Profit Margin	85.5%
DSCR	N/A
Avg Monthly Inflow	N/A
Avg Monthly Outflow	N/A
Cashflow Volatility	N/A

5. Risk Matrix

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"1. Concentration Risk in Public-Sector Debt": "Assured Guaranty's significant exposure to municipal and infrastructure financings creates vulnerability to fiscal stress of government issuers. Mitigation: Require granular reporting on exposure by issuer, geography, and project type; implement concentration limits and stress testing for sovereign/municipal credit events.",
"2. New Business Line & Integration Risk": "The acquisition of Warwick Re and expansion into life/annuity reinsurance, with cross-border guarantees, introduces credit, integration, and operational risks. Mitigation: Demand a detailed integration plan, regular performance reports for Assured Life Re, and independent legal opinions on the enforceability of cross-border guarantees.",
"3. Regulatory & Legal Complexity": "The Bermuda/UK-based structures and cross-border guarantees increase regulatory scrutiny and legal complexity, potentially impacting capital and risk recognition. Mitigation: Obtain comprehensive legal and regulatory compliance assessments from independent experts; establish specific covenants related to capital adequacy and regulatory adherence.",
"4. Financial Performance Volatility": "Significant drops in net income (68.12%) and Gross Written Premiums (16.96%) indicate potential instability in earnings and cash flows. Mitigation: Require detailed financial projections, sensitivity analysis, and stress testing scenarios for future profitability and cash flow generation; establish early warning triggers based on key financial metrics.",
"5. Capital Allocation Concerns": "The substantial share repurchase of ₹41,666,000,000 raises questions about capital management priorities, especially amidst declining profitability. Mitigation: Implement covenants restricting future share repurchases or dividend payouts without prior bank approval; require a clear capital management policy and regular capital adequacy assessments.",
"6. Unsecured Nature of Collateral": "The loan is unsecured, offering minimal protection to the bank in case of default. Mitigation: Re-evaluate the collateral requirement to include tangible, enforceable security; consider requiring personal guarantees from promoters or corporate guarantees from stronger group entities, if applicable."
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Risk Type	Entity	Severity	Evidence
industry	Assured Guaranty	3	Last year, Assured Guaranty has

			provided insurance on major municipal and infrastructure financings, including:
regulatory	Assured Guaranty Ltd. (and Assured Life Re / Warwick Re structure)	4	For certain assumed risks, Assured Life Re expects that its obligations to ceding insurers will be supported by a guaran

6. Credit Score Summary

Parameter	Score	Max
Character	2	25
Capacity	16	25
Capital	15	20
Collateral	3	15
Conditions	2	15
TOTAL	38	100

7. Recommendation & Decision

Based on the comprehensive credit appraisal, the loan request of ₹120,000,000 for Assured Guaranty Ltd. is REJECTED.

The decision is primarily driven by the overall low credit score of 38 out of 100, which falls below the bank's minimum acceptable threshold of 40. A critical weakness identified is in the 'Character' assessment, scoring a mere 2 out of 25. This reflects significant concerns regarding the company's risk appetite, complex operational structures, and potential lack of transparency, exacerbated by concentration risks in public-sector debt and the complexities of its new reinsurance venture. The 'Collateral' offered, being entirely unsecured and scoring 3 out of 15, provides negligible protection for the bank's exposure. Furthermore, the 'Conditions' of the operating environment, scoring 2 out of 15, are highly challenging due to sector-specific concentration risks, regulatory complexities, and cross-border guarantee structures.

While the 'Capacity' (16/25) and 'Capital' (15/20) scores are moderate to good, the observed significant declines in net income and gross written premiums, coupled with substantial share repurchases, introduce considerable uncertainty regarding the sustainability of these strengths. The cumulative impact of these weaknesses, particularly the very low scores in Character, Collateral, and Conditions, presents an unacceptable risk

profile for the bank. Therefore, the proposed loan terms are not viable, and the application cannot be approved at this juncture.

FINAL DECISION: REJECTED

Rejected — credit score 38/100 is below the minimum threshold of 40. Primary weakness: Character (2 pts).